

Boosting Local Salon Business-SheZone

A Proposal report for the BDM capstone Project

Submitted by

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Declaration Statement

I am working on a Project titled “Boosting Local Salon Business-SheZone”. I extend my appreciation to **SheZone**, for providing the necessary resources that enabled me to conduct my project.

I hereby assert that the data presented and assessed in this project report is genuine and precise to the utmost extent of my knowledge and capabilities. The data has been gathered from primary sources and carefully analyzed to assure its reliability.

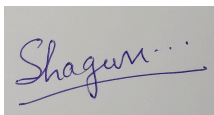
Additionally, I affirm that all procedures employed for the purpose of data collection and analysis have been duly explained in this report. The outcomes and inferences derived from the data are an accurate depiction of the findings acquired through thorough analytical procedures.

I am dedicated to adhering to the principles of academic honesty and integrity, and I am receptive to any additional examination or validation of the data contained in this project report.

I understand that the execution of this project is intended for individual completion and is not to be undertaken collectively. I thus affirm that I am not engaged in any form of collaboration with other individuals, and that all the work undertaken has been solely conducted by me. In the event that plagiarism is detected in the report at any stage of the project's completion, I am fully aware and prepared to accept disciplinary measures imposed by the relevant authority.

I understand that all recommendations made in this project report are within the context of the academic project taken up towards course fulfillment in the BS Degree Program offered by IIT Madras. The institution does not endorse any of the claims or comments.

Signature of Candidate:

A rectangular box containing a handwritten signature in blue ink. The signature appears to be 'Shagun' followed by a flourish.

Name: Shagun Singh

Date: 29 May, 2025

1 Executive Summary

The project focuses on a Local salon business-”**SheZone**” located at Topkhana, Lucknow Cantt, Uttar Pradesh. The business is B2C(Business to Customer) and deals in the segment of providing beauty and grooming services primarily to womens.

The major business issues that **SheZone** is facing are related to customer churn due to newly opened salons within a 5 km radius and the business experiences significant revenue dips during non- festival and non-wedding months causing struggles to attract customers. Additionally, being located in an alley rather than on main road which is impacting the visibility.

The issues will be addressed by analyzing the customer appointment data and monthly revenue trends via different analytical approaches like **descriptive analytics**, **trend analysis**, and **segmentation** where i will explore patterns in customer behaviour, popular services, and the impact of offers like discounts, freebies, and loyalty efforts suggested by me to obtain a fruitful analysis and the goal is to retain customers and increase profitability during low-demand periods.

2 Organization Background

The business that I am working with is **SheZone**, which is a locally-owned beauty and grooming salon located in Topkhana, Lucknow Cantt,Uttar Pradesh. SheZone is a **B2C**(Business-to-Customer), providing a variety of services including stylish haircuts, different types of facials, waxing, threading, bridal makeup and on-demand services. It primarily is for women from nearby residential areas and has built a modest customer base over time, through word-of-mouth referrals and returning clients.

The salon was established in 2019 and is managed by the owner and small team of trained beauticians. Its major profits are seen during festival periods and the wedding season; the salon faces low footfall in off-season months. Located inside an alley rather than on a main road, the shop faces visibility challenges that affect walk in traffic.

Despite all these obstacles, SheZone has maintained a loyal set of customers and is looking for ways to improve performance and remain competitive in a changing local market.

3 Problem Statement

3.1 Customer Churn(quantitative): SheZone is facing decline in repeat customers and the risk of losing loyal customers because of rising competition from newly opened salons within a 5 km radius, combined with its low-visibility location inside an alley.

3.2 Seasonal Profit Fluctuation(quantitative): The salon faces inconsistent revenue, with profits peaking during festival and wedding seasons, but low or negligible sales during other months.

3.3 Lack of Proper Insights(qualitative): There is no data-driven strategy currently in place to figure out which services offers or customer segments can help improve retention and increase more profit in festive seasons and maintain consistency throughout the year.

4 Background of the Problem

SheZone is a locally-owned beauty salon that mainly depends on walk-in and repeat customers from the surrounding residential area. However, the salon's location is in an alley, away from the main road which affects its visibility. This is a key internal challenge that limits the discovery of the salon by new customers.

Externally, the recent opening of two new salons within a 5 km radius has intensified competition and have increased customer options. These salons are more visible and possibly offer promotional discounts, pulling potential customers away from SheZone. As a result, the business is facing customer churn and a drop in first-time visitors.

Another major problem is the inconsistency in customer traffic. During festivals and wedding seasons, customers flood in; and the salon sees high footfall and generates most of its annual revenue. But during other times (non-seasonal months), the salon is often empty, affecting overall profitability. Currently, there is no structured method to retain customers or promote services during low-demand periods.

Internally, there's also a lack of data utilization — customer preferences, which service is in more demand, and promotional impact are not tracked in any organized way. This gap prevents the owner from making informed, data-driven decisions to grow the business steadily across all seasons.

5 Problem Solving Approach

To address the problems of customer churn and inconsistent revenue at SheZone, I will take a structured, data-driven approach that includes **data collection**, **analysis**, and **actionable recommendations**.

5a. Approach Overview

The project will be based on both **quantitative** and **qualitative** methods. I have collected the real-world data from SheZone over a period of one month(3rd April,2025) till now and I will collect one month of more data in May, 2025 and analyze it to identify patterns in customer behavior, service usage, and revenue flow. The focus will be on understanding:

- What services are most popular and when.
- Which time slots and days see the highest/lowest footfall.
- How promotions like discounts or freebies affect customer visits.
- Which customers are repeat clients versus one-time visitors.

5b. Methods

Quantitative Methods:

- **Descriptive Analysis:** Calculate average revenue by month and service type to understand business performance.
- **Trend Analysis:** Detects seasonal peaks and troughs in customer appointments and revenue.
- **Customer Segmentation:** Frequent vs. infrequent customers.
- **Service Popularity:** What services are used the most.
- **Correlation Analysis:** Assess the relationship between promotional offers and customer appointments.

Qualitative Methods:

- Informal interviews with the owner and staff to understand customer feedback and seasonal behavior.

5c. Data Collection Plan

Two types of datasets will be used:

1. Customer Appointment Dataset (Micro-level data):

- Columns: Name, date, time, service type, appointment/walk-in, contact number (anonymized), price, rating/review, discount given, freebie given, business card given.
- Purpose: This data will enable granular analysis of individual customer behavior and promotion effectiveness.

2. Monthly Revenue Dataset (Macro-level data):

- Columns: Month, service type, appointment count, total revenue, average bill size, discounts offered, new vs repeat customers.
- Purpose: This dataset will be used to analyze overall business trends and identify seasonal revenue variations.

5d. Tools Used

- **Excel:** For data entry, cleaning, aggregation, and calculation of key quantitative metrics such as churn rate, average revenue, and customer segmentation using pivot tables and formulas. Excel will also be used for initial visualizations like charts and graphs to explore data trends.
- **Power BI:** For creating interactive dashboards that visually represent numeric findings including revenue trends, customer segmentation, service popularity, and promotion impact. Power BI's interactive features and KPI cards will clearly communicate quantitative results and support data-driven decision-making by the salon management.

6 Expected Timeline

6.1 Work Breakdown Structure:

- Data Collection: I am planning to collect 2 months of data. Till now i have collected data of one month i.e April and will continue collecting the month May, spanning a total of 55 days.
- Data Cleaning and Processing: I will successfully clean the data until the end of June.
- Proposal Preparation: I prepared my project proposal at the mid of May.
- Data Analysis: I will start the basic data analysis in the beginning of June.
- The aim is to successfully analyse and provide conclusive recommendations by the end of July.

6.2 Gantt chart

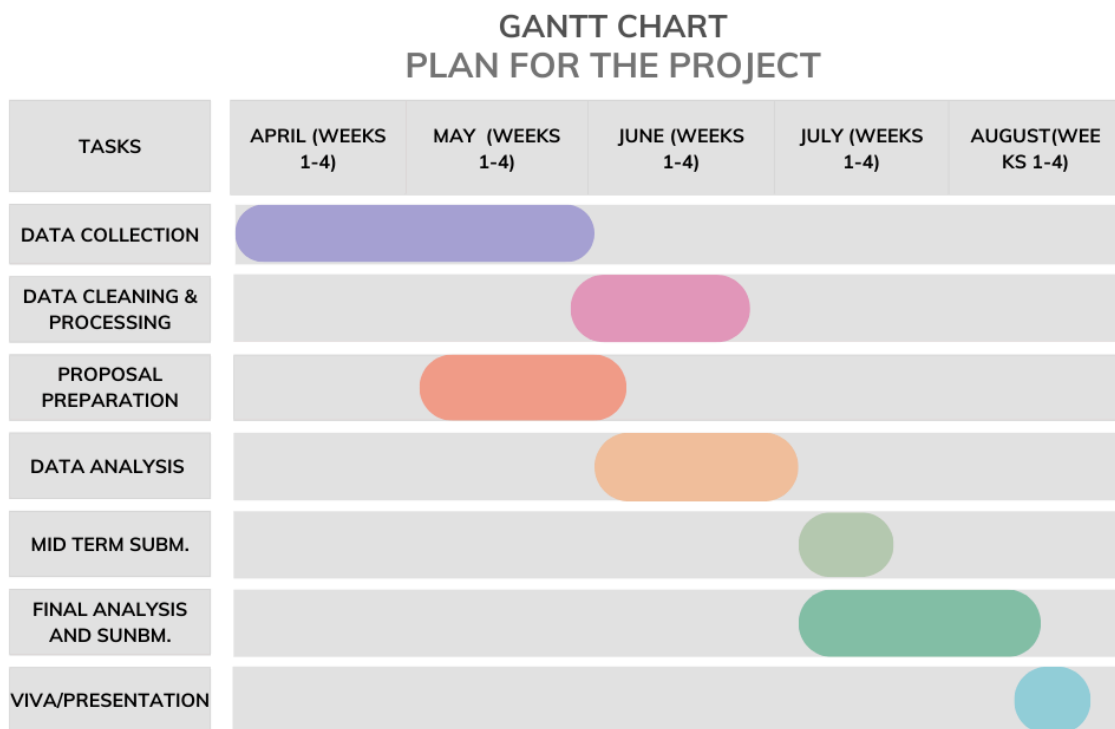


Figure 1 Expected timeline for completion of project.

7 Expected Outcome

This project aims to deliver actionable insights that will help SheZone salon improve customer retention and increase revenue, especially during non-peak months. By analyzing customer appointment data and revenue patterns, the salon will gain a clearer understanding of which services are most popular and when customers are most likely to visit.

The analysis will identify key factors driving customer churn, such as the impact of competition and the effectiveness of discounts, freebies, and loyalty programs. These findings will enable SheZone to design targeted promotions and service improvements tailored to customer preferences.

Moreover, the project will highlight seasonal trends in revenue, helping the salon to better prepare for low-demand months through strategic marketing and service adjustments. Visual dashboards created in Power BI will allow the salon management to monitor key performance metrics regularly, fostering data-driven decision-making.

Ultimately, this project will provide SheZone with quantitative evidence-based recommendations to increase customer loyalty, optimize service offerings, and stabilize revenue streams throughout the year, thereby improving overall business sustainability.